

Governing Algorithmic Fairness

FairCredit Jurisdiction Engine: A Strategic Compliance Solution for JPMorgan
Chase & Co.

PITCH TO SENIOR MANAGEMENT

Regulatory Fragmentation

The Complexity

JPMC manages assets of \$4.4 Trillion across 100+ countries. Diverging AI laws mean a single global checklist no longer suffices for credit scoring.

The Cost of Inaction

Relying on static memos and spreadsheets creates "Compliance Theatre." Manual cross-border review is slow, error-prone, and hides genuine risk.

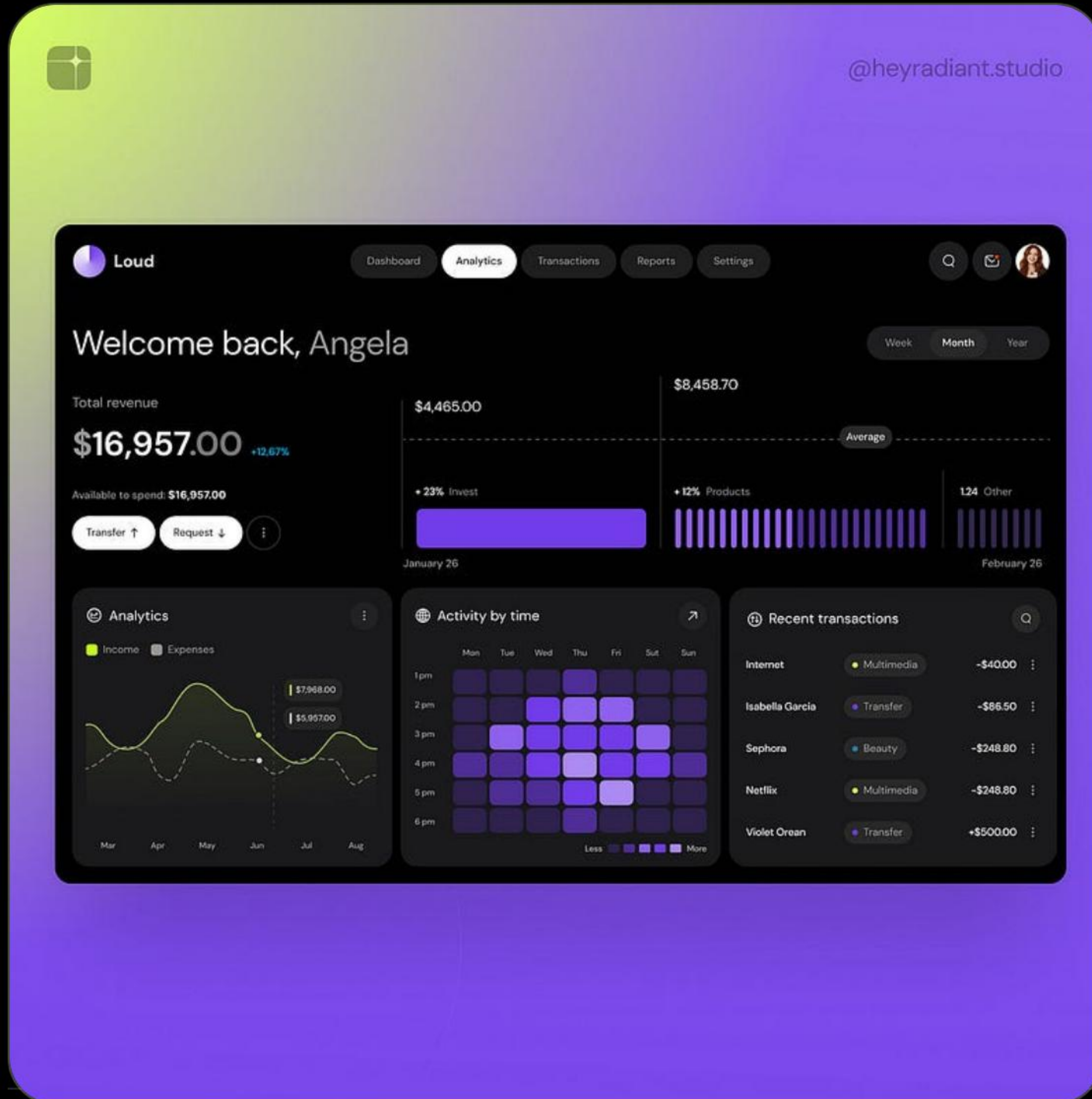
Global Scale, Local Rules

JPMC moves \$12 Trillion daily across 160 countries. This scale requires a tool that understands the granular differences between ECOA in the US and the AI Act in the EU.

Protecting JPMC's "Fortress Balance Sheet" means ensuring that every credit model is defensible and audit-ready in every market.



Beyond the Spreadsheet



Dynamic Governance

Memos describe the rules; FairCredit **applies** them. Our rules engine turns static legal opinions into executable, auditable workflows.

Unlike spreadsheets, FairCredit provides:

- Automated thresholds
- Immutable audit logs
- Standardized "Model Cards"

Navigating Divergence

United States (ECOA)

Focuses on **Non-Discrimination** and adverse-action transparency. Lenders must provide specific, accurate reasons for credit denial with no AI exemptions.

European Union (AI Act)

Classifies credit scoring as **High-Risk AI**. Focuses on lifecycle governance, technical documentation, and rigorous human oversight records.

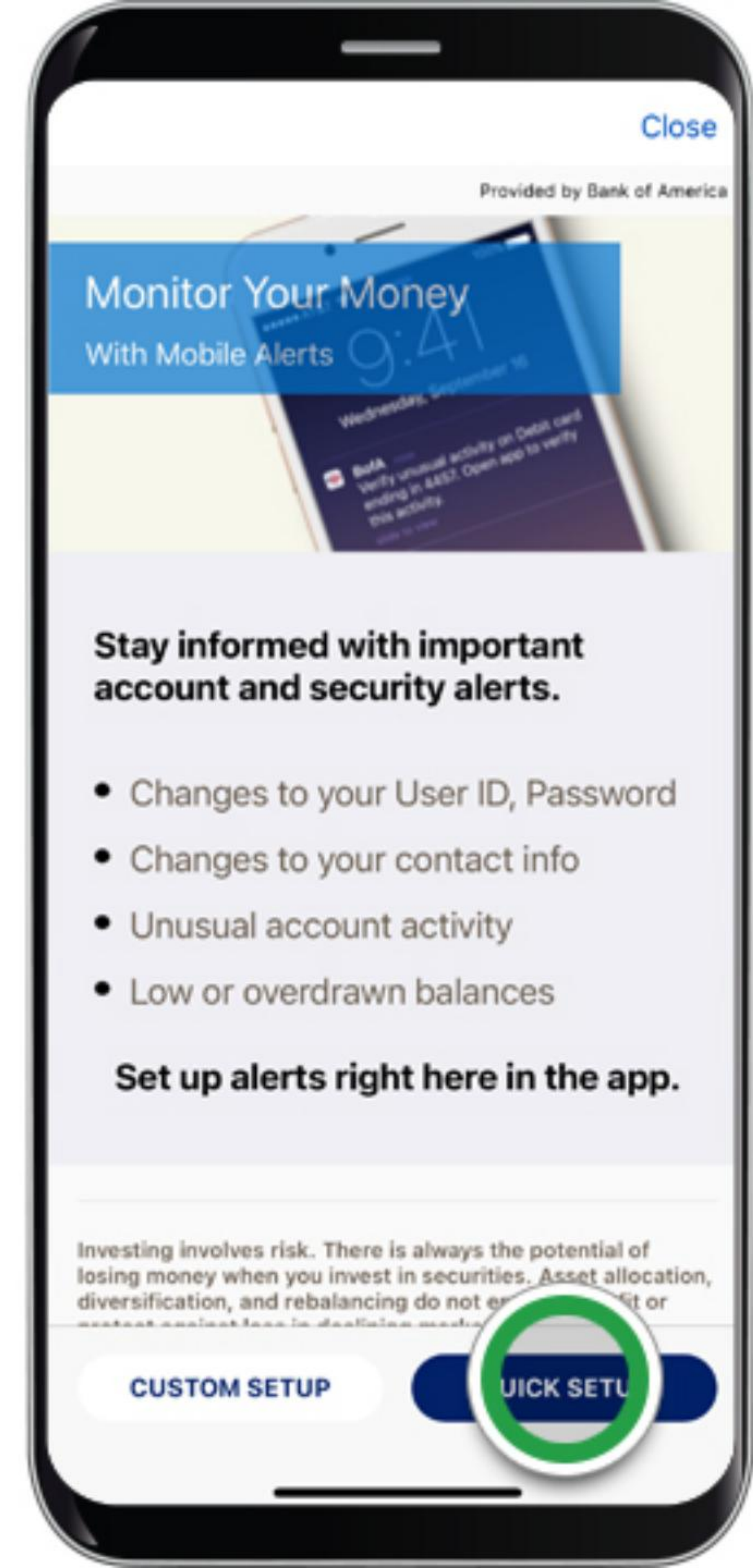
Jurisdiction-Aware Engine

A single technological layer that switches its testing behavior and reporting outputs based on the active geography.

US: Adverse Action

In US Mode, FairCredit focuses on Regulation B requirements. It automatically identifies key contributors to approval—such as debt-to-income or credit score—to generate accurate adverse-action reason codes.

Threshold: 0.80 Disparate Impact Ratio trigger for fair-lending review.



EU: High-Risk Governance



Beyond Adverse Action

In EU Mode, the system satisfies the **AI Act** by generating "High-Risk" governance packs. It includes technical documentation stubs and human oversight logs.

Threshold: **0.90**. A conservative trigger designed for proactive lifecycle risk management before deployment.

Same Model, Dual Output



US Output

Flags fairness alerts as **Fair-Lending** concerns. Focuses on consumer notification quality and prohibited-basis monitoring.



EU Output

Flags the same data as **Governance Gaps**. Requires formal human review and audit logs before the model is marked "Deployable."



Unified Result

Strategic consistency across regions without sacrificing local legal compliance or operational speed.

Efficiency and Impact

75%

Reduction in Manual Review

100%

Auditable Audit History

0

Misconfiguration Risk

Strategic Boundaries

-  **No Final Automation:** The tool flags risks but requires human sign-off. We preserve JPMC's accountability culture.
-  **Not Legal Advice:** It complements General Counsel by providing the data required for legal opinions, not replacing them.
-  **Decision Support:** Positioned as a mission-critical support system for the CCO, not an autonomous auditor.

Ready for **Pilot**
Secure, Defensible, Jurisdiction-Aware.

CivicFair RegTech
Proposed Partner for JPMC Model Risk Teams
